

The Board of India Today Economists examines the state of the economy, the causes of the slowdown and takes a look at the year ahead

BETTER



CHAWLA, ASHIMA GOYAL AND AJIT RANADE

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uidity into the system. It is not yet passing into the market but I think it is a matter of time. I certainly see the first half as a very negative scenario and a turnaround after that.

Suman Bery: There are the known knowns and known unknowns. Known and unknown actually operate on the demand side of the economy. There is a lot of stress in the economy, both domestic and external. We see hope in the second half of 2009-10 and growth at around 7 per cent.

Ashima Goyal: Compared to the rest of the world, we are doing all right. We must remember that this has been a major and unique kind of shock we are facing worldwide. So I don't see 2009 being really bad. We are better placed than most countries in the world to pull out of the situation.

Ajit Ranade: In the global context, it is not bad. In the context of our expectation and aspiration, it is somewhat grim. We would grow at, say, 6 per cent next year but there are lots of positives. India has a history of being wise in a crisis, so I would like to bet on it. So next year will be okay.

Siddhartha Roy: The first positive we must record is that we have a problem and the policymakers are not indifferent. Certain steps have been taken which will possibly have a delayed impact. I agree with Ajit that next two or three quarters will be difficult but things will look up after that.

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SMEs EMPLOY 100 MILLION, ACCOUNT FOR 31% OF GDP BUT GET ONLY 2% OF THE CREDIT.

Rajiv Kumar: A lot of people are surprised that our worst case forecast for the first half of 2009-10 is 3.9 per cent. When we said 5.9 per cent for 2008-09, a lot of people were sceptical. I am now hearing 6 to 6.5 per cent for this year. This means GDP growth for the second half of 2008-09 will be around 5 to 5.5 per cent (down from 7.8 for the

first half). Ours was a statistical exercise where we factored in the impact of external shocks and figured out that the first half growth would be down to 4 per cent and that is not incompatible with the 5 per cent 2008-09 second half forecasts. I think a lot of us have failed to figure out the actual impact of the global downturn on the basis that net exports contribute only a negative 3 or 4 per cent to our growth. The fact is that multiplier effect of our exports is very large. There is a stimulus package in place but our capacity to deliver is poor as is evidenced in the slow progress of the highways project. Monetary policies will take six to eight months to show results. Then how bad is global downturn? Everywhere I hear the US could be in recession longer than ever before. Then there is the China factor. If China pushes implodes in a positive way and pushes exports, we would be lucky to have a growth of 5 per cent. And we should be prepared.

Fear Rules the Markets. HOW BAD IS IT?

Bibek Debroy: It depends entirely on how you define bad. The trend has been close to 9 per cent and we are talking about less than 7 per cent this year and 6 per cent next year. So, effectively we are down from 9 per cent to 6 per cent and that, I would say, is bad.

S. Mahendra Dev: We have to live with the slowdown. Even if we do something in the next six months, the impact will be limited. But it is not as bad as some developed countries.

Subir Gokarn: The current quarter is actually reflecting the worst possible combination of both global and domestic drivers of slowdown. At the moment, the macro conditions have changed, inflation has come down, and we see influx of liq-